

Aggregate demand and aggregate supply	Circular flow of income	• explain the income, output and expenditure methods of measuring national income • explain what is meant by the circular flow of income • explain what is meant by injections and leakages within the circular flow • distinguish between physical and monetary flows • explain what is meant by the average and marginal propensities to consume and save • explain what is meant by the marginal propensity to withdraw (marginal propensity to save, marginal rate of tax, marginal propensity to import) • calculate average and marginal propensities to consume, save and withdraw • explain what is meant by the multiplier • explain the role and purpose of the multiplier.
	Aggregate demand	• explain what is meant by aggregate demand • explain the determinants of the components of aggregate demand • evaluate the relationship between changes in income and consumption • explain the relationship between aggregate demand and the price level • explain why the aggregate demand curve may shift.
	Aggregate supply	• explain what is meant by aggregate supply • explain why the aggregate supply curve may shift in both the short run and the long run.
	Aggregate demand and supply	• draw and interpret AD/AS diagrams.

Area of Study	Topic	Learners should be able to:
Aggregate demand and aggregate supply	Macroeconomic equilibrium	• explain what is meant by equilibrium in the macroeconomy and how it might change • evaluate how changes in aggregate demand and aggregate supply may affect macroeconomic performance, including economic growth, unemployment and inflation.